BALANCE OF PAYMENTS, EXCHANGE RATES AND FOREX RESERVES

Economy Topic 19 | Current-source cutoff: 9 September 2026

01 BOP ARCHITECTURE

- Resident/non-resident
- Current + capital
- Financial account
- Errors/omissions
- Flow, not IIP stock

02 CURRENT ACCOUNT

- Goods
- Services
- Primary income
- Secondary income
- Trade balance != CAD

03 CAPITAL/FINANCIAL

- Capital transfers
- Non-produced assets
- FDI/FPI
- Loans/deposits
- Reserve assets

04 Q1 FY27 EVIDENCE

- CAD USD 4.2 bn
- 0.5% GDP
- Goods gap 86.1
- Services 51.6
- Transfers 42.9

05 EXCHANGE QUOTE

- INR per USD
- Rise -> rupee weaker
- Market depreciation
- Parity devaluation
- State convention first

06 NEER/REER

- 40-currency basket
- Base 2015-16
- NEER nominal
- REER price-adjusted
- Indicator, not target

07 INDIA REGIME

- Market-determined
- RBI intervention
- Excess volatility
- No level or band
- 8 April 2026

08 INTERVENTION

- Sell USD -> absorb INR
- Buy USD -> inject INR
- Sterilise liquidity
- Costs remain
- No permanent override

09 RESERVES

- Total 740.803
- FCA + gold
- SDR + IMF position
- 28 Aug provisional
- Stock != revenue

10 ADEQUACY/DEBT

- Imports
- Original maturity
- Residual maturity
- Currency + hedge
- Stress scenarios

11 CONVERTIBILITY

- Article VIII 1994
- FEMA from 2000
- Current broadly open
- Capital calibrated
- Tarapore sequenced

12 ANSWER ENGINE

- Classify
- Date and sign
- Trace financing
- Test balance sheet
- Qualify conclusion